**THE NATIONAL COMPANY LAW TRIBUNAL**

**NEW DELHI BENCH-IV**

**CO. APPL.(CAA)100/ND/2021**

**IN THE MATTER OF:**

**UNDER SEC 230-232 OF THE COMPANIES Act, 2013**

**AND**

**IN THE MATTER OF:**

JSS Properties Private Limited
Having Registered Office at:
B-3/52 Lower Ground Floor,
Safdarjung Enclave,New Delhi110029
(Transferor Company No.1/Applicant No.1)

**And**

SN Commercial Private Limited
Having Registered Office at:
1, Oak Drive DLF, Chattarpur Farm,
New Delhi-110074.
(TransferorCompany No.2/Applicant No.2)

**With**

LSC Commercial Private Limited
Having Registered Office at:
1, Oak Drive DLF, Chattarpur Farm,
New Delhi-110074.

(Transferee Company/Applicant No.3)

**CORAM:**
**DR. DEEPTI MUKESH, MEMBER(JUDICIAL)**
**SMT. SUMITA PURKAYASTHA, MEMBER(TECHNICAL)**

**MEMO OF PARTIES**

JSS Properties Private Limited
Having Registered Office at:
B-3/52 Lower Ground Floor,
Safdarjung Enclave,New Delhi110029
CIN NO. 45201DL2005PTC142957

SN Commercial Private Limited
Having Registered Office at:
1, Oak Drive DLF, Chattarpur Farm,
New Delhi-110074
CIN NO. U74899DL1995PTC070778

LSC Commercial Private Limited
Having Registered Office at:
1, Oak Drive DLF, Chattarpur Farm,
New Delhi-110074
CIN NO. U45201DL2005PTC142961

**Order Delivered on-30.11.2021**

**ORDER**
**PER SMT. SUMITA PURKAYASTHA, MEMBER (T)**

This petition is filed by way of a 1st Motion under Sections 230-232, Section 234 of the Companies Act, 2013 (hereinafter referred to as 'the Act') by the Applicants/Transferor Companies No.1-2 in connection with the Scheme of

Merger (hereinafter referred to as 'the Scheme') for merging its business with M/s LSC CommercialPrivateLimited (Transferee Company).

2. As per averments, the registered office of the Applicant Companies no.1-2 and Transferee Company are situated in the National Capital Territory of Delhi, falling within the territorial jurisdiction of this Court.

3. The Applicant/ Transferor Company No.1 was incorporated under the Act on 24.11.2005 under the name and style of "JSS Properties Private Limited"havingCINU45201DL2005PTC142957. Its present authorized share capital Rs. 10,00,000/-while its issued, subscribed and paid up capital is 1,00,000/-.

The main object of the Applicant Company No.1 is to carry on the business to undertake and develop infrastructure facilities in various fields and branches and whether in India and abroad and to lay out develop, construct, build, erect, demolish, alter, repair or remodel or to do any other work in connection with road, tunnels, labs with all related facilities reclamations, sanitary, water, gas, electric light and power supply works or any other structural or architectural works of any kind whatsoever and including facilities attached.

4. The Applicant/ Transferor Company No.2 was incorporated under the Act on 13.07.1995under the name and style of "Private Limited"having CINU74899DL1995PTC070778. Its present authorized share capital Rs. 15,00,000/-while its issued, subscribed and paid up capital is 2,25,380/-.
The main object of the Applicant Company No.2 is to carry on the business as manufacturers, importers, exporters, dealers, agents, suppliers, wires, repairs , cleaners, storers, buyers, traders etc of all types of automobile spare parts.

5. The Applicant/ Transferee Company was incorporated under the Act on 24.11.2005 under the name and style of "Private

Limited"havingCINU45201DL2005PTC142961.Its present authorized share capital Rs. 10,00,000/-while its issued, subscribed and paid up capital is 1,00,000/-.

The main object of all the Transferee Company is to provide all kind of aviation services including ground handling, flight supervision, flight operation including its consultancy services and to represent foreign and domestic airlines and aviation organization.

7. Copies of the Memorandum of Association and Articles of Association of each company provides for such amalgamation. All the Applicant Companies have filed their latest audited Annual Accounts as on 31.03.2021.

It has also been certified by the Statutory Auditor of the Applicant Companies Nos. 1-2 and Transferee Company that the Accounting Treatment is in compliance with the Accounting Standards prescribed u/s 133 of the Companies Act 2013.

8. It has been stated on behalf of the Applicant Companies that the Scheme of Amalgamation is necessitated and justified on grounds that :-

a. Benefit shareholders and other stakeholders of the respective companies by consolidating and simplifying the group structure, business operations, provide optimal utilization of various resources and eliminating cross holdings within the group;
b. Increase growth prospects, reduce overheads, administrative managerial and other costs and expenditure and remove inefficiencies and bring operational rationalization and organizational efficiency and result in improved shareholder value for the shareholders of the respective companies, thus providing a stronger and wider capital and financial base for the future growth/ expansion of the applicant company;

c. Amalgamation will give the consolidated company better finances, facilitates adequate resources mobilization to sustain growth;
d. Strengthening and consolidating the position of the amalgamated company and enabling it post-merger to participate more vigorously and profitably in an increasingly competitive and liberalised market;
e. Enabling better leverage of facilities, infrastructure and human resources and for better administration;
f. Amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the amalgamated company and the amalgamated company also avoid duplication of administrative functions and eliminate multiple record-keeping;
g. The said scheme is beneficial to the applicant companies, their shareholders, creditors, employees and all concerned and will enable these companies to achieve and fulfill their objectives more efficiently and economically.

The Appointed date is 1st April, 2022.

9. The Board of Directors of the Transferor Companies No.1-2 and the Transferee Company dated 12th August, 2021 has unanimously approved the proposed Scheme of Merger. Copies of the board resolutions passed have been filed.

10. So far as the Share Exchange Ratio is concerned, in terms of the scheme, it has been determined in accordance with the Report on Valuation of Shares & Share Exchange Ratio issued by Mr. Yogesh Kansal, Registered Valuer dated 8th August, 2021as per the settled principles of valuation.

11. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

**A. In respect of the Transferor Company No.1 / Applicant Company No.1:-**

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured or Unsecured Creditor as certified by the Chartered Accountant.

In view of the consent accorded by its 2 Shareholders vide affidavits, the requirement of convening the meeting of the shareholders is dispensed with. Further, as there is no secured or unsecured creditor, the question of convening their meeting does not arise.

**B. In respect of the Transferor Company No.2 / Applicant Company No.2:-**

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditor as certified by the Chartered Accountant.
- It has 1 Unsecured creditor who had accorded its consent vide affidavits placed on record.

In view of the consent accorded by its 2 Shareholders and 1 Unsecured creditor vide affidavits, the requirement of convening the meeting of the shareholders and unsecured creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

**C. In respect of the Transferee Company**

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured or Unsecured Creditor as certified by the Chartered Accountant.

In view of the consent accorded by its 2 Shareholders vide affidavits, the requirement of convening the meeting of the shareholders is dispensed with. Further, as there is no secured or unsecured creditor, the question of convening their meeting does not arise.

12. The proposed Scheme of Merger is annexed along with the present application.

13. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and theScheme if sanctioned by this Tribunal, will take effect from the date of on which certified copy of the order of sanctioning of proposed Scheme, passed by this Tribunal is filed with the Registrar of Companies.

14. It has also been submitted that there are no proceedings pending inquiry or investigation in respect of all applicant companies.

15. While dispensing with the meetings, this Tribunal also directs that notices be sent to the Central Governmentthrough the office of the Regional Director (Northern Region), the Income Tax Authorities, Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator and other sectoral regulators or authorities as required under sub-section (5) of section 230 of the Companies Act, 2013 who may have significant bearing on the operation of the applicant companies along

with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangement, and Amalgamation) Rules, 2016. Copies of the notices along with the proof of dispatch be filed before this Tribunal along with the affidavit of compliance.

16. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained inthe Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant.

As sequel to the above, the present application stands allowed by dispensing with the meetings of shareholders and creditors of the applicant companies.

**SD/-**
**SumitaPurkayastha**
**Member(T)**

**SD/-**
**Dr. Deepti Mukesh**
**Member(J)**